

Let's go through the seven investing strategies that have made female investors outperform their male counterparts consistently. This is how you 'invest like a girl':

1. passively invest
2. dollar cost average
3. emotions and the market
4. don't fall for FOMO
5. check your portfolios less
6. invest for the long term
7. invest in what you understand.

#1: Passively invest

You can try active investing: investing in individual stocks, where you try and pick companies that will beat the market. Or you can just invest in the market itself through a passive index fund. Female investors in general have shown a preference for the passive investing strategy. Let me tell you a secret: I know a female Wall Street trader who, while she actively trades professionally for her job, only personally invests in index funds. There are no stocks in individual companies in her personal portfolio. She knows trying to pick stocks is not worth her time, despite doing it for her full-time job.

We prefer to invest for the greatest gains with the minimum effort and involvement possible, which is where passive investing through index funds fits in perfectly.

With passive investing into index funds or ETFs, you end up diversifying your portfolio naturally as well. If you have even one share of the S&P 500, you're now a shareholder in 500 companies across a multitude of sectors in the US. By diversifying your risk, you're able to ride out the fluctuations in the market as well. For example, during the COVID-19 pandemic airline stocks dropped, but it wouldn't have mattered if you also had Zoom stocks, which went up. Or more recently, when the share market tanked due to